

1-1d Role of Ethics in Accounting and Business

The objective of accounting is to provide relevant, timely information for user decision making. Accountants must behave in an ethical manner so that the information they provide users will be trustworthy and, thus, useful for decision making. Managers and employees must also behave in an ethical manner in managing and operating a business. Otherwise, no one will be willing to invest in or loan money to the business.

Ethics (Moral principles that guide the conduct of individuals.) are moral principles that guide the conduct of individuals. Unfortunately, business managers and accountants sometimes behave in an unethical manner. Many of the managers of the companies listed in **Exhibit 3** engaged in accounting or business fraud. These ethical violations led to fines, firings, and lawsuits. In some cases, managers were criminally prosecuted, convicted, and sent to prison.

Exhibit 3

Accounting and Business Frauds

Company	Nature of Accounting or Business Fraud	Result
Countrywide	CEO misled investors.	CEO paid \$22.5 million penalty and was permanently banned from serving as an officer or director of a public company.
Enron	Fraudulently inflated its financial results.	Bankruptcy. Senior executives criminally convicted. More than \$60 billion in stock market losses.

Company	Nature of Accounting or Business Fraud	Result
Goldman Sachs	Misstated and omitted key facts from investors.	Company agreed to pay \$550 million fine and reformed business practices.
Wells Fargo	Improperly opened customer accounts without their permission.	CEO fined \$17.5 million and banned from banking industry for life.
Xerox Corporation	Recognized \$3 billion in sales prior to when it should have been recorded.	\$10 million fine to SEC. Six executives forced to pay \$22 million.

Business Insight

Business Strategies

Businesses normally use a (1) product-differentiation or (2) low-cost strategy to gain a competitive advantage and maximize their profits.

Using a product-differentiation strategy, a company distinguishes its product(s) in such a way that it is desirable to customers and uniquely different from its competitor's. Using this strategy, a company tries to win over customers to its product(s) and establish customer loyalty. If successful, the company can charge premium prices for its products. For example, **Apple Inc. (AAPL)** uses a product-differentiation strategy in developing and marketing its products.

Using a low-cost strategy, a company offers product(s) to customers at a lower cost (price) than its competitors. The low-cost strategy is normally used for products that are uniform in nature, and thus the company cannot use a product-differentiation strategy. For example, **Southwest Airlines Co. (LUV)** uses a low-cost strategy in providing airline services to passengers.

Risks of a product-differentiation strategy are that customers may not value the uniqueness of the company's product, competitors may duplicate the product's uniqueness, or that competitors may develop even more desirable attributes for their products. Risks of the low-cost strategy are that competitors may duplicate the company's low-cost processes or that competitors may develop new processes for achieving even lower costs.

What went wrong for the managers and companies listed in [Exhibit 3](#)? The answer normally involved one or both of the following two factors:

- **Failure of Individual Character:** Ethical managers and accountants are honest and fair. However, managers and accountants often face pressures from supervisors to meet company and investor expectations. In many of the cases in [Exhibit 3](#), managers and accountants justified small ethical violations to avoid such pressures. However, these small violations became big violations as the company's financial problems became worse.
- **Culture of Greed and Ethical Indifference:** By their behavior and attitude, senior managers set the company culture. In most of the companies listed in [Exhibit 3](#), the senior managers created a culture of greed and indifference to the truth.

As a result of the accounting and business frauds shown in [Exhibit 3](#), Congress passed laws to monitor the behavior of accounting and business. For example, the [Sarbanes-Oxley Act \(SOX\) \(An act passed by Congress to restore public confidence and trust in the financial statements of companies.\)](#)

was enacted. SOX established a new oversight body for the accounting profession called the

[Public Company Accounting Oversight Board \(PCAOB\) \(A new oversight body for the accounting profession that was established by the Sarbanes-Oxley Act.\)](#)

. In addition, SOX established standards for independence, corporate responsibility, and disclosure.

How does one behave ethically when faced with financial or other types of pressure?

Guidelines for behaving ethically follow:

1. Identify an ethical decision by using your personal ethical standards of honesty and fairness.
2. Identify the consequences of the decision and its effect on others.
3. Consider your obligations and responsibilities to those who will be affected by your decision.
4. Make a decision that is ethical and fair to those affected by it.

Link to Twitter

Twitter's "Code of Business Conduct and Ethics" can be found at <https://cdn.cms-twdigitalassets.com/content/dam/legal-twitter/asset-download-files/en/code-of-conduct-092018-ext.pdf>

Chapter 1: Introduction to Accounting and Business: 1-1d Role of Ethics in Accounting and Business

Book Title: Financial and Managerial Accounting

Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

© 2023 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.